

Board Briefing Memorandum



To The Board of Directors
From Branding & Outreach
Subject Matters for consideration before adoption of the organizational resolutions

PURPOSE

This memorandum accompanies the Resolutions of the organizational meeting. It sets out the **five matters that carry a judgment call**, so the board reaches each one having already seen the reasoning. The remaining nine resolutions are routine organization: elections, adoptions as presented, and standing practice, fully stated in their own text. The resolutions contain operative language only; the reasoning lives here and is referenced in the minutes.

1 • PRESIDING OFFICER AND THE STATUTORY OFFICER REQUIREMENT

Washington law requires every nonprofit corporation to have officers who perform the functions of president, secretary, and treasurer, and prohibits the same person from holding both president and secretary (RCW 24.03A.585). The corporation's public record and its bylaws name a Chair, Vice Chair, Secretary, and the Treasurer; the office of President is optional under the bylaws and, before Resolution 2, had not been filled.

Left unaddressed, this gap invites a question from any bank, grantmaker, or examiner: who holds the president's role. Resolution 2 answers it by recording that **the Chair of the Board holds the office of president within the meaning of RCW 24.03A.585, under the title Chair of the Board, the office thereby filled**. Because the Chair is a Director, this is a Major Action under Bylaws Section 5.9: stated on the notice, two-thirds vote.

Recommendation. Adopt as drafted. No change to titles, no new office, and the statutory question is answered on the face of the record.

2 • ACCOUNTABLE HOME FOR HEARTBEAM

HeartBeam is the corporation's most active project and is claimed by more than one program. The internal record is split: the Board and Divisions document places it under Experience Architecture, while the research roadmap and its protocol documents run it as a Research activity. Resolution 7 assigns it to Research as its single accountable home, with the other programs as contributors.

Recommendation. Confirm or redirect at the meeting. One program must be accountable and the assignment must appear in the minutes. Either home is defensible; ambiguity is not.

3 • BYLAWS ADOPTED AS PRESENTED

Resolution 3 adopts the bylaws presented at the meeting, after the board and its officers are seated under Resolutions 1 and 2. The text before the board is the clean draft that conforms the corporation's name to the filed Articles, cites the current Washington Nonprofit Corporation Act throughout, and retains the 501(c)(3) organizational-test language. Directors should confirm the principal office, registered agent, and fiscal year read correctly before the vote, since those particulars must match the filed record.

Recommendation. Adopt, with the Chair signing and the Secretary attesting the adopted text and recording the adoption date upon it.

4 • FISCAL SPONSORSHIP AND THE EXEMPTION APPLICATION

The corporation's programs currently operate under the fiscal sponsorship of the Virtual World Society, and no written sponsorship agreement is on record. Resolution 11 authorizes the Chair and the Treasurer to negotiate and execute one, directs the officers to prepare and file the federal exemption application, and requires solicitation materials to state that contributions are received through the Virtual World Society until federal recognition arrives.

Recommendation. Adopt. The authorization commits no funds and removes an obstacle to funder diligence.

5 • TWO CONFLICT-OF-INTEREST TEXTS

The packet carries two conflict-of-interest texts with different roles. The Conflict of Interest Policy is the form the board adopts under Resolution 4 and the instrument directors sign against each year. Appendix A to the bylaws is the fuller record of the same rules, and bylaws Section 9.1 names it as the policy's reference form. The two are consistent in substance; the policy is the working form, the appendix the record within the bylaws.

Recommendation. Adopt both as presented, noting in the minutes that the Conflict of Interest Policy adopted under Resolution 4 is the operative policy contemplated by bylaws Section 9.1.

RECOMMENDATION

Adopt the resolutions as presented, with the board's direction on item 2. The Secretary files this memorandum with the minutes as the supporting material for the actions taken.